TELLICO VILLAGE POA

OBJECTIVE OBSERVER REPORT

February Town Hall (February 16, 2026) & Board Meeting (February 18, 2026)

EXECUTIVE SUMMARY

February's meetings represent a meaningful improvement in tone and procedure compared to the contentious December 2025 special meeting. There were no inflammatory outbursts, no bloc-voting controversies, no poorly drafted resolutions rushed to a vote, and no intimidating remarks from the dais. Both meetings were relatively orderly and productive. The Tanasi construction and golf simulator presentations were informative and well-received. Financial results for January were strong.

That said, an objective observer's job is to note not only what explodes but what quietly erodes. Several structural concerns identified in December persisted into February in subtler form: the ongoing removal of detailed financial reporting from board meetings; a candid admission that residents are not being broadly informed of ad hoc committee volunteer opportunities; a non-answer on the GM search timeline; an irrigation line severed during a land sale that should never have been unmapped; and a recurring pattern of agendas published with inadequate lead time. These are not crises — but they are threads worth tracking.

SECTION 1: NOTABLE POSITIVES — CONTEXT FOR THE CONCERNS

Before documenting concerns, it is worth explicitly acknowledging what was done well in February, because the contrast with December is significant and deserves recognition.

- Scott Macrae's Tanasi/lift station update was detailed, technically credible, and responsive to questions. Progress on the main pump station was clearly communicated, including honest acknowledgment of weather delays and equipment issues. This is the standard for project updates.
- Casey Flynn's golf simulator presentation was enthusiastic, well-organized, and addressed practical questions (pricing, access control, safety, scheduling) with clarity. His community-first framing — villager-only access to start — was appropriate.
- The board formally adopted a resolution codifying the four categories of confidential information under Article 4, Section 6 of the bylaws, explicitly stating that everything else must be conducted in open meetings. This is a meaningful governance commitment and its public adoption is positive.
- The election calendar was approved with two good amendments: a directive that POA-owned lots shall not be voted, and a requirement that the new board convene its organizational meeting immediately following the December certification meeting. Both close known loopholes.

- Financial results for January were genuinely strong: expenses 9% under budget, reserve contributions 124% better than plan, subsidies 31% better than plan. The balanced scorecard framework, while still early-stage, provides a useful public accountability structure.
- The board voted to approve an emergency HVAC replacement for Chota Recreation Center and the Kahite irrigation line relocation expeditiously and with proper competitive bidding — two unbudgeted items handled with appropriate process.

CONCERN 1: FINANCIAL REPORTING CONTINUES TO SHRINK IN PUBLIC MEETINGS

At approximately 42 minutes into the board meeting, board manager Beth relayed a cluster of online questions: why was there no financial presentation on the agenda, and why has the board stopped doing thorough financial reviews as in the past?

Matt's answer framed the shift as a strategic choice:

> *"This board has stepped forward with a very robust strategic planning methodology, which is the balance scorecard. And you kind of have to face a choice. Do you want to take a deep dive into your financials? Or do you want to hit the high level stuff and illustrate those things that are most important to the property owners. So the decision of this board is the desire to frame public discussions around strategic planning items rather than necessarily a deep dive into the financials."*
>
> **[Board Meeting ~43:44]**

Joel added:

> *"We do have the FAC, the finance advisory committee that meets the Friday before our board meetings where that level of detail that somebody's looking for, it's an open meeting and they can attend that."*
>
> **[Board Meeting ~44:00]**

This exchange confirms the pattern first flagged in the March 2026 report: detailed financial presentation has been deliberately moved out of board meetings and into the Finance Advisory Committee meeting. The FAC meets the Friday before the board meeting — a narrow window for property owners to learn of financial issues before the board acts on them. The FAC is open, but it is far less widely attended or watched than the board meeting, which is streamed and recorded.

A $40 million operation serving thousands of property owners who pay annual assessments has an obligation to present more than high-level scorecard gauges at its primary public meeting. The scorecard is a useful management tool. It is not a substitute for transparent financial reporting. This concern is compounded by the CFO's earlier statement (documented in the March 2026 report) that the outside auditor had not been consulted on the question of using reserve funds for operational expenses. Property owners asking for financial visibility are not being unreasonable.

CONCERN 2: AD HOC COMMITTEE VOLUNTEER OPPORTUNITIES NOT PUBLICLY COMMUNICATED

During the board meeting's balanced scorecard presentation, an online question from Ken asked: 'How are villagers being made aware of volunteer opportunities on these new committees?' Joel's answer was candid and concerning:

> *"They're not. You know, I called them ad hoc committees. But really they're focus groups. They're going to be formed just to help get this started, working a couple of volunteer residents working with the POA staff."*

[Board Meeting ~47:44]

Joel went on to explain that the members of the new Strategic Initiatives Advisory Committee (the renamed Long Range Planning committee) are the ones populating these focus groups, and that when their work is done they will be disbanded.

This admission is significant for two reasons. First, it reveals that residents who might wish to volunteer for these groups — which are shaping new programs, revenue initiatives, preventive maintenance standards, and training curricula — have no pathway to do so. The groups are populated by existing committee members chosen by the board, not by open application. This is structurally identical to the pre-selection concern documented in December, just applied to informal 'focus groups' rather than formal advisory committees.

Second, calling them 'focus groups' rather than 'ad hoc committees' after the March meetings had described them publicly as 'ad hoc committees' suggests the terminology may be shifting to reduce scrutiny. If these groups are making substantive recommendations that shape POA programs and spending — and they clearly are — residents have an interest in knowing who is on them and how they are selected, regardless of what they are called.

CONCERN 3: GM SEARCH — NO TIMELINE, OPAQUE PROCESS, AWKWARD PUBLIC EXCLUSION

At the close of the board meeting, an online question from JR asked for an updated timeline on hiring a full-time general manager. Lackey's response:

> *"We're working in that space and there is not a timeline at this time, but we've got to put together the whole board and — don't take this personal, Matt — but you're not invited to that meeting. So we're going to put that together and see what we can come up with. There is not a current timeline."*

[Board Meeting ~1:39:36]

There are two issues here. The first is substantive: as of February 18, the board had no timeline for one of its most consequential decisions. The interim GM has been serving since mid-2025. The December meeting featured a hiring freeze that was ultimately tabled. The March meetings documented extensive back-and-forth about the three-step search process. By February, with no timeline in sight and no firm on contract, the community is left to wonder how long 'interim' actually means.

The second issue is the public statement that Matt is 'not invited' to the board's planning meeting on his own replacement. While it is obviously appropriate for the GM not to participate in his own succession planning, announcing it publicly in that manner — to a room of community members and a live stream — is an unnecessary slight. The board could simply say they will be meeting privately as a board on this topic. Publicly flagging Matt's exclusion, even with the caveat 'don't take this personal,' puts him in an awkward professional position before his colleagues and the community he serves.

CONCERN 4: THE KAHITI IRRIGATION LINE — A GOVERNANCE FAILURE IN THE P1 LAND SALE

Beth's presentation on the Kahite irrigation line relocation (~1:08 in the board meeting) documented a significant underlying governance failure, even though the board's response to it was handled appropriately.

When the POA sold parcel P1 to South Oak Construction — generating $1.9 million in proceeds — a main golf course irrigation line running through that parcel was not on the POA's GIS system, not recorded in any easement, and not shown on any plats. The developer's excavation cut the line on January 5, 2026. The golf course lost all irrigation water as a result. The board was now being asked to approve $54,134 in unbudgeted repair costs to relocate approximately 1,000 feet of 12-inch pipe before irrigation season.

Beth's presentation acknowledged: 'The irrigation line was never identified during the utility review because it wasn't on our GIS and the line was never added to any plats by CCI when they added it to that property.'

[Board Meeting ~1:10:11]

This is a significant failure of asset documentation. The POA sold land encumbered by critical infrastructure — a main irrigation line serving an entire golf course — without knowing that infrastructure existed. Had the developer not been cooperative, the POA could have faced a much more expensive and contentious situation. The board voted correctly to fix it, and Beth noted the developer did cooperate in ways that reduced costs. But the root cause — incomplete GIS mapping of underground utilities — remains an institutional vulnerability. How many other unmapped utilities run under POA or recently sold parcels? This should prompt a systematic audit, not just a one-time repair.

CONCERN 5: AGENDA TIMELINESS AND COMMUNICATION GAPS

5a. Board Meeting Agenda Released Less Than 24 Hours Before the Meeting

New resident Jeff Marino noted at the opening of the board meeting that he received the agenda less than 24 hours before the meeting. He also noted that the acronyms on the agenda were not self-explanatory to someone unfamiliar with POA committee structure. The board acknowledged both points and attributed the late release to 'changes' and being 'still learning.'

> *"My suggestion would be... the Wednesday before would be [ideal]... we tried to and we had some challenges. We apologize for that. That was my fault."*

[Board Meeting ~11:13]

This is not a minor procedural footnote. Property owners who want to attend and speak to agenda items need adequate notice to prepare. A new resident noticing this problem on his very first meeting suggests it is not an isolated occurrence. The December 2025 meeting featured resolutions that board members themselves said they had not seen until the day before. The

pattern of late or incomplete agenda publication deserves a formal policy commitment with a specific lead-time requirement — not just an apology.

5b. Water and Sewer Status Absent from Town Hall Agenda

Resident John Rogers pointed out at the town hall (~1:19) that water and sewer — among the most consequential and expensive ongoing issues facing the village — had not appeared on a town hall agenda in two months. He asked why it wasn't there and pressed for it to be included regularly. Lackey's response:

> *"We're learning. This is only our first one. Give me a break."*
>
> **[Town Hall ~1:24:06]**

This is a fair point about being new, and Rogers acknowledged it. But it is worth documenting because Lackey subsequently agreed it would be a good idea to include periodic TAP updates on the town hall agenda going forward — which suggests the omission was recognized as an oversight, not a deliberate choice. Given the community anxiety about water/sewer costs, spills, and the consent decree, keeping this off the agenda for two months was a missed opportunity for reassurance and transparency. The board should formalize a policy of including at minimum a brief infrastructure status update at every town hall.

CONCERN 6: PUBLIX/COMMERCIAL DEVELOPMENT DISCUSSION — PROCESS QUESTION

Resident Rick Dram raised at the town hall (~1:03) that Loudon County Economic Development Director Jack Qualls had told him a Publix supermarket and strip mall development off Popular Ridge Road — on POA-owned property — had been 'shot down' before the community was aware of it. Dram described the opportunity as potentially significant: close proximity to the village, POA ability to set development covenants, associated tax revenue, and no requirement for apartment buildings according to Qualls.

The board's response was measured and appropriate — acknowledging the relationship gap with Loudon County economic development and agreeing to try to facilitate a meeting. Board member David said: 'You are quite right. This isn't the only relationship outside the village that wasn't necessarily maintained brilliantly.'

The concern here is not with the board's response, which was reasonable. The concern is the underlying pattern: a potentially significant economic decision affecting POA property was apparently discussed and dismissed without community awareness or board involvement. Whether the opportunity was sound or not, residents and their elected board should have been part of that conversation, not learning about it secondhand from a resident who happened to have a meeting with the county economic development director. This suggests the need for better systematic engagement with county government — something the new board says it is working on, and which deserves follow-through.

CROSS-REFERENCE: PATTERNS ACROSS DECEMBER 2025, FEBRUARY AND MARCH 2026

Reviewing December, February, and March together, several structural patterns emerge that are worth tracking over the coming months:

- Financial transparency: Detailed financials have been progressively removed from board meeting presentations and redirected to FAC. This was noted in February (online questions) and March (online questions). The pattern is now confirmed across three consecutive meetings.
- Ad hoc/focus group opacity: In December, board-selected individuals were pre-loaded into committee positions. In February, it was admitted that residents are not informed of ad hoc volunteer opportunities. In March, ad hoc committee chairs were being nominated by board liaisons. The same dynamic — limited public access to advisory structures — appears in different forms each month.
- GM search: No firm under contract as of February, no timeline as of February, process described inconsistently across February and March meetings. The 90-day spending freeze on infrastructure projects runs out around the same time the GM search should be reaching resolution. Both timelines deserve a clear public update.
- Agenda lead time: The December agenda was seen by some board members only the day before. The February agenda reached at least one resident less than 24 hours before the meeting. This is a recurring problem, not a one-time slip.
- Unmapped infrastructure: The Kahite irrigation line was unmapped. The December meeting revealed that infrastructure contracts lacked standard specifications. The March meeting noted that the village's 'purchasing policy from 2018 has absences' regarding large contracts. The common thread is inadequate institutional documentation of assets, processes, and obligations.

CONCLUSION

February 2026 was, by comparison to December 2025, a calmer and more professionally conducted set of meetings. The board showed it can run an orderly meeting, handle unbudgeted capital requests with proper process, adopt meaningful governance resolutions, and present substantive progress updates without controversy. That is not nothing.

The concerns documented here are real but structural rather than acute. They will not make headlines. But they are the kind of quiet erosions — financial reporting moved to a less-watched forum, volunteer opportunities not advertised, infrastructure sold without being mapped, timelines undefined, agendas released too late — that compound over time into the institutional dysfunction this board said it was elected to correct. A community that only pays attention when things explode will miss the slow drift.

Community members monitoring these proceedings should watch for:

- Whether detailed financial results return to board meeting presentations, or whether the FAC-only approach becomes permanent.
- Whether the board publishes a formal agenda lead-time policy.

- Whether a formal 90-day review of the TAP infrastructure spending freeze produces a public report and decision at the March or April board meeting.
- Whether the ad hoc committee / focus group membership is ever publicly disclosed and opened to broader resident participation.
- Whether the GM search produces a firm announcement, a timeline, and eventually a cost disclosure, as board member David half-committed to in March.
- Whether a systematic GIS audit of underground utilities is initiated in response to the Kahite irrigation line failure.

This report covers February 2026. The March 2026 report has been filed separately. Reports are issued monthly following each cycle of town hall and board meetings.